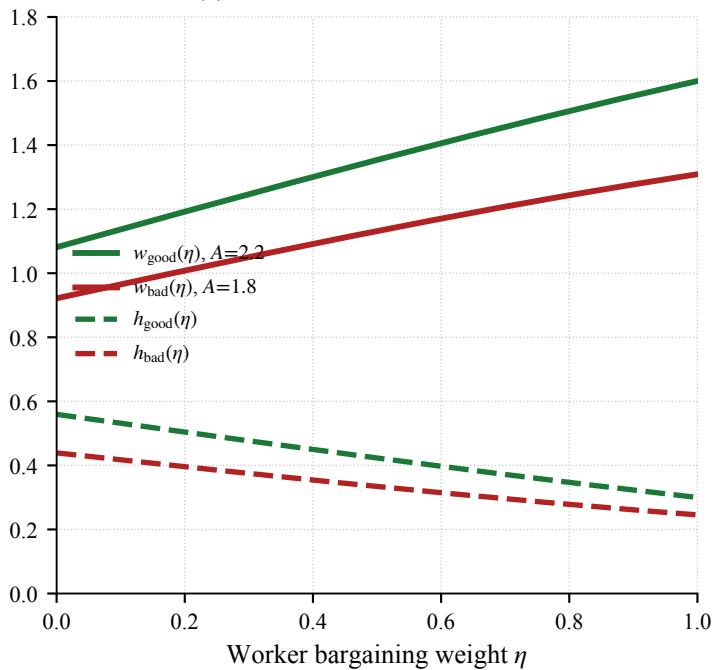
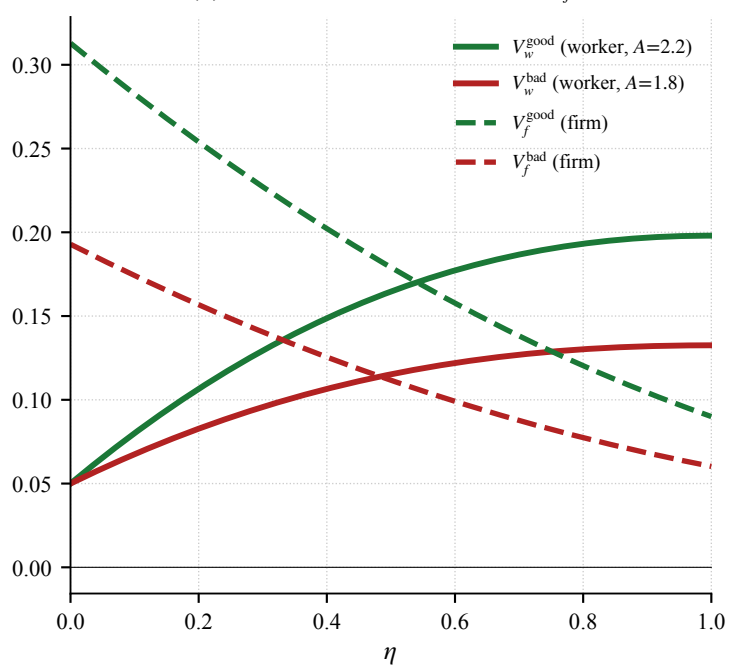


(a) Per-state mechanics: $w \uparrow, h \downarrow$



(b) Per-state distribution: $V_w \uparrow, V_f \downarrow$



(c) Aggregate welfare ($s=0.5$): $\eta^* \approx 0.58$ at $\lambda=0.30$

